

Nokia

NOKIA.HE • NASDAQ Helsinki • Communication Equipment • Finland

COMPANY PROFILE

Nokia is a Finland-based network technology company operating through four core businesses: Network Infrastructure (fixed, IP routing, optical and submarine networks), Mobile Networks (5G radio access equipment), Cloud and Network Services (core networks, cloud software and private wireless), and Nokia Technologies (patent licensing). Revenue is concentrated in network hardware for telecom operators, while profit comes disproportionately from high-margin patent licensing and from infrastructure equipment tied to data-center and AI-driven demand growth.

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

7.56 EUR

as of report date

TARGET PRICE

6.20 EUR

12-month fundamental

IMPLIED UPSIDE

-17.9%

vs. current price

MARKET CAP

EUR 42.2 bn

shares × price

ENTERPRISE VALUE

EUR 40.8 bn

mcap + net debt

P/E 2026E

24.2×

EV/EBITDA 2026E

10.8×

FCF YIELD 2026E

5.8%

DIVIDEND YIELD

2026E

3.7%

NET DEBT / EBITDA

2026E

-0.4×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 6.20 EUR 12-month fundamental	CURRENT PRICE 7.56 EUR as of report date	IMPLIED UPSIDE -17.9% vs. current price
MARKET CAP EUR 42.2 bn shares × price	ENTERPRISE VALUE EUR 40.8 bn mcap + net debt	P/E · EV/EBITDA 2026E 24.2x · 10.8x history + peers, see p. 18-19	FCF · DIV YIELD 2026E 5.8% · 3.7%



01 Unjustifiable Network Infrastructure Premium

Network Infrastructure trades at an implied 27.6x versus our 15.0x fair multiple, since the market is pricing in structural hyperscaler optical demand; its EBIT would need to scale from EUR 780m to a EUR 1,436m run-rate to justify the current EUR 21,539m EV allocation.

27.6x Implied Multiple

02 Unrealistic Group EBIT Growth Requirement

Group EBIT must grow 44.1% from EUR 1,646m to EUR 2,372m in 2026e, requiring restructuring drag to fade and comparable EBIT of EUR 1,646m to converge with reported EBIT — an unverified assumption behind the 17.2x multiple.

+44.1% Required EBIT Growth

03 Patent Margins Exposed to Regulatory Caps

Nokia Technologies carries a defensible 70.6% margin annuity on EUR 1,059m EBIT, but a court-imposed FRAND rate cap would impair its EUR 17,545m EV allocation and pull the blended target multiple lower.

70.6% Margin Annuity

THESIS BREAKER

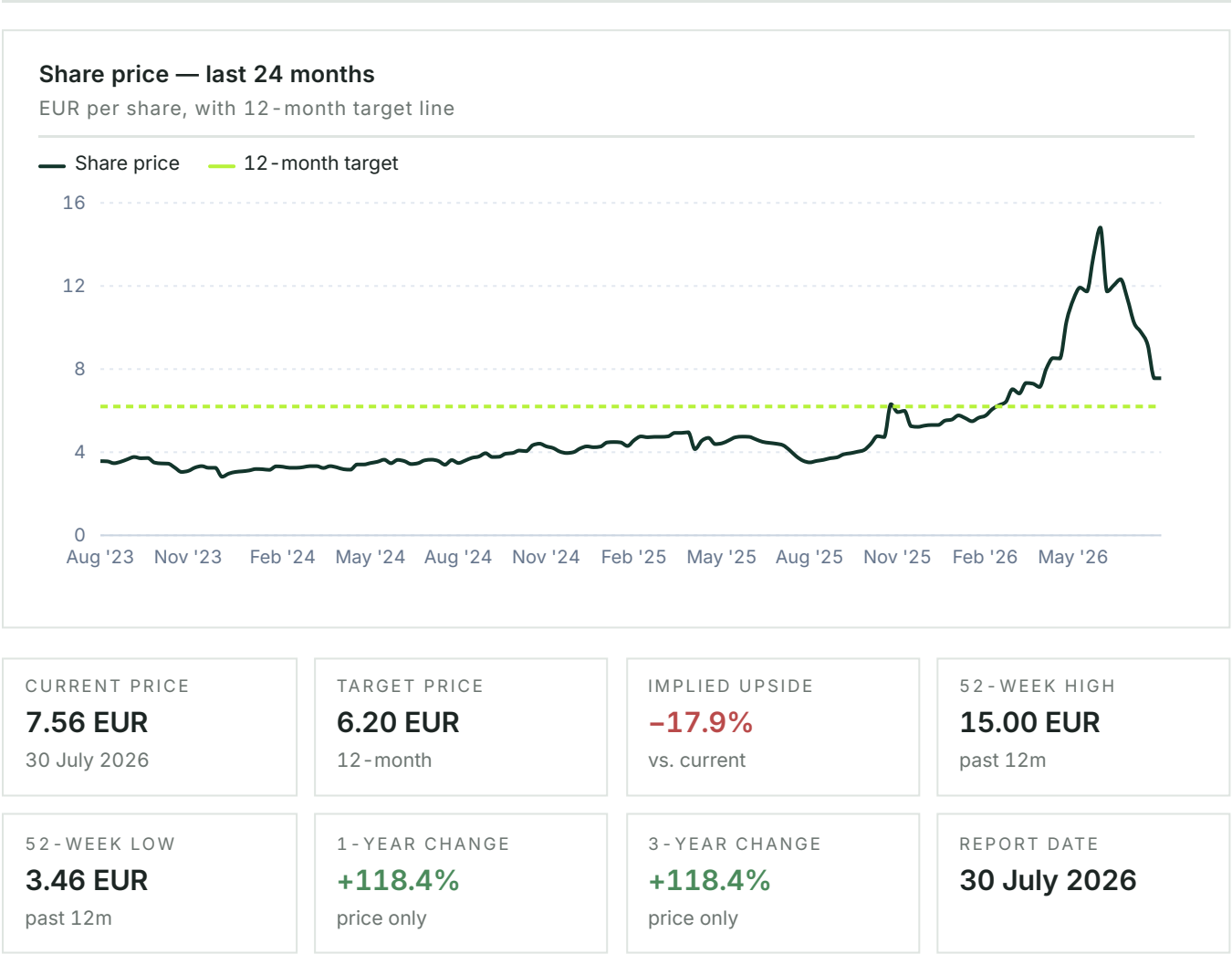
Flawless execution of AI-driven data-center order scaling, sustaining mid-teens operating margins, combined with full delivery of restructuring benefits that are not yet independently verified but that would need to permanently erase the corporate EBIT drag.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12 -month target price, alongside key market data.



VALUE BREAKDOWN · PART 1

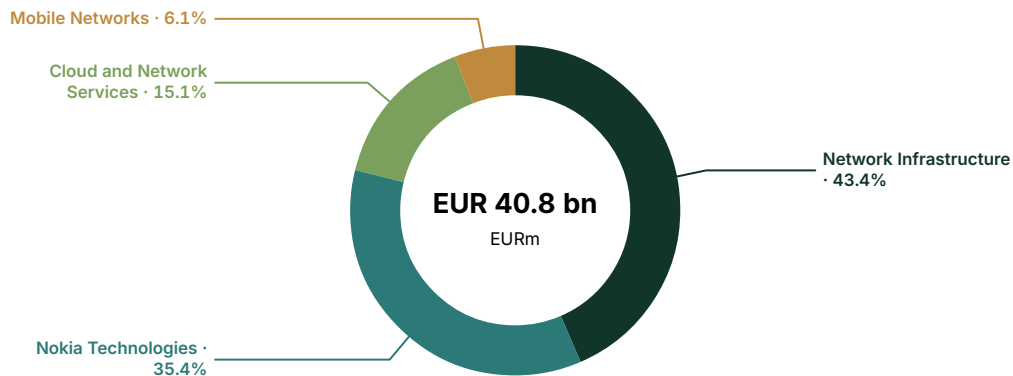
Enterprise - value allocation by value pool

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by value pool

EUR millions · current analytical allocation



VALUE POOL VALUATION MAP

Analytical enterprise - value allocation. Value pools may differ from company - reported accounting segments.

	EV	EV %	ARCHETYPE
Network Infrastructure	17,736	43.4%	Scaling
Nokia Technologies	14,447	35.4%	Profit engine
Cloud and Network Services	6,147	15.1%	Recurring
Mobile Networks	2,501	6.1%	Commodity
Group Common and Other	-1	-0.0%	Mixed unclear
Total	40,830	100.0%	—

VALUE BREAKDOWN · PART 2

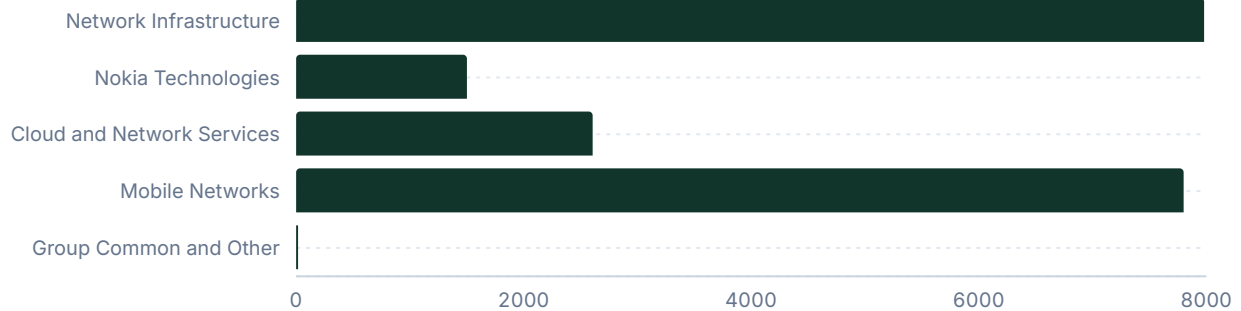
Revenue and reported profit by segment

05

Where the group's revenue and reported segment profit metric originate, by segment. Chart headings state the disclosed sales basis.

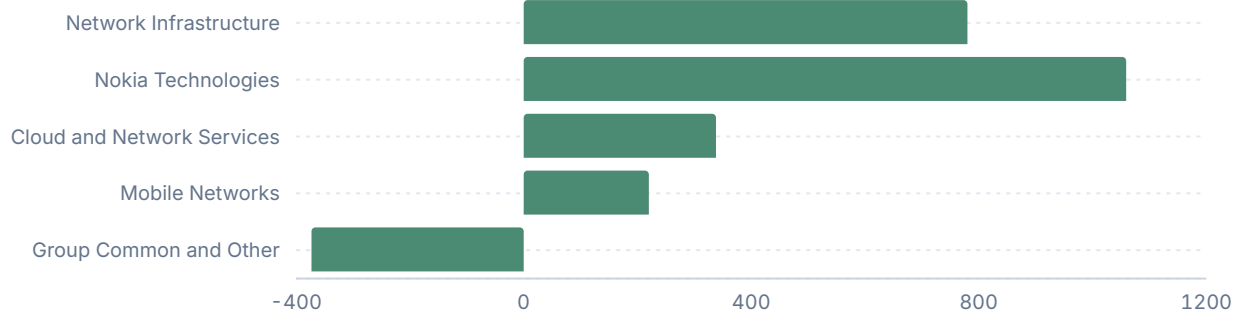
External sales by segment

EUR millions, FY2025A



Comparable EBIT by segment

EUR millions, FY2025A



INTERPRETATION

Nokia's enterprise value splits sharply between two economic engines that look very different from its legacy identity. Network Infrastructure and Nokia Technologies together command over 95 percent of the group's €40,830 million enterprise value, despite accounting for less than half of total net sales, while the traditional mobile equipment business is heavily discounted and burdened by a large unallocated corporate value drag.

VALUE BREAKDOWN · ANALYTICAL VIEW

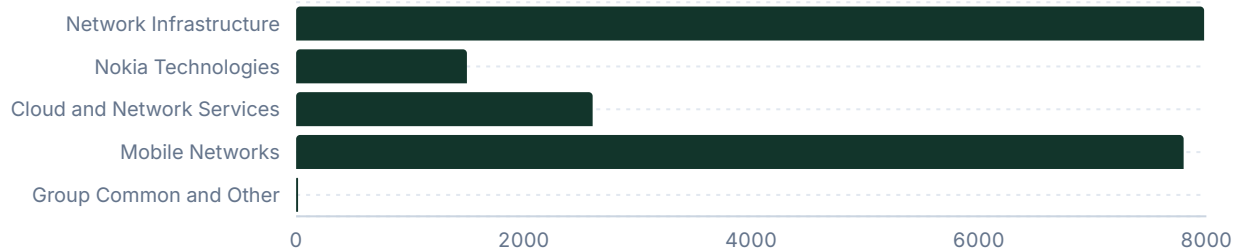
Economics by analytical value pool

How revenue and profit are allocated across the analytical value pools, including pre-revenue pools. Rows marked as modelled allocations are not company-reported segment figures; the reported segment charts are on the previous page.

05B

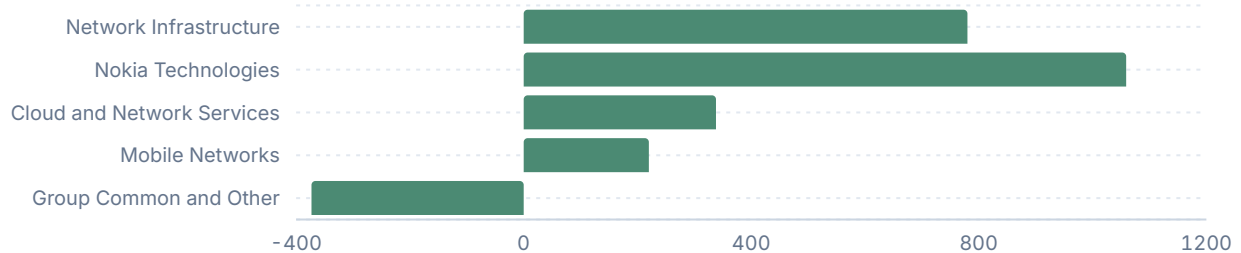
Revenue by analytical value pool

Modelled allocation · EUR millions · zero and negative values retained



Comparable EBIT by analytical value pool

Modelled allocation · EUR millions · zero and negative values retained



ANALYTICAL VALUE-POOL ECONOMICS

Analytical value-pool allocation. "Reported" rows match a verified company-reported segment; "Modelled allocation" rows are model-side splits, not company-reported figures.

	REVENUE	SHARE OF REVENUE	COMPARABLE EBIT	SHARE OF COMPARABLE EBIT	BASIS
Network Infrastructure	7,980	40.1%	780	47.4%	Modelled allocation
Nokia Technologies	1,501	7.5%	1,059	64.3%	Modelled allocation
Cloud and Network Services	2,606	13.1%	338	20.5%	Modelled allocation
Mobile Networks	7,800	39.2%	220	13.4%	Modelled allocation
Group Common and Other	17	0.1%	-373	-22.7%	Modelled allocation

RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

DATA QUALITY NOTICE: Official reported - segment figures could not be fully verified; treat the segment table as requiring review. Current corporate events could not be fully source-verified and were omitted from the verified event layer. One or more prose EV references do not reconcile with the final valuation tables; the tables contain the authoritative values.

The stock is currently trading at EUR 7.56 and appears overvalued, supporting a SELL view with a target price of EUR 6.20, implying roughly 18% downside over the next 12 months.

Nokia's 2026 investment debate comes down to one question: can Network Infrastructure's comparable EBIT scale from €780m (9.8% margin on €7,980m revenue) to a €1,436m run-rate (13.5% margin), which would justify its €21,539m EV allocation at a sustainable 15.0x rather than today's implied 27.6x? Group 2026e EBIT of €2,372m (+44.1% y/y from €1,646m) currently trades at 17.2x EV/EBIT versus our selected fair multiple of 15.0x, producing a weighted target price of €6.20 against the current €7.56 quote.

The mispricing is concentrated in Network Infrastructure, where the market pays 27.6x for €780m of comparable EBIT versus our 15.0x fair-multiple framework — more than €12bn of enterprise value at risk if hyperscaler optical demand normalizes. Nokia Technologies' 16.6x looks more defensible given its 70.6% margin annuity, but a court-imposed FRAND rate cap would instantly impair the €17,545m allocation.

Gating conditions: webscale optical order intake must show sequential growth over the next 2–4 quarters, and automotive/IoT licensing deals must materialize by H2 2026 to close the €403m EBIT gap. The clear thesis breaker is a hyperscaler capex pause or an SEP rate ruling, either of which would push NI toward a 10–12x multiple and pull the €6.20 target — and the stock — well below current €7.56 levels.

SELL

TARGET PRICE

6.20 EUR

CURRENT PRICE

7.56 EUR

IMPLIED UPSIDE

-17.9%

12-MONTH VIEW

The stock is currently overvalued, driven by an unsustainable premium applied to AI-optical growth that masks underlying structural challenges in mobile hardware and unresolved corporate costs.

MAIN DRIVER

AI-driven optical data-center demand

MAIN RISK

Hyperscaler capex pause or SEP royalty rate caps

01 Unjustifiable Network Infrastructure Premium

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70.6% Margin Annuity

**THESIS
BREAKER**

Flawless execution of AI-driven data-center order scaling, sustaining mid-teens operating margins, combined with full delivery of restructuring benefits that are not yet independently verified but that would need to permanently erase the corporate EBIT drag.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the segment deep dives that follow.

Nokia's enterprise value splits sharply between two economic engines that look very different from its legacy identity as a mobile hardware manufacturer. Network Infrastructure and Nokia Technologies together command over 95 percent of the group's €40,830 million enterprise value, despite accounting for less than half of total net sales. Segment values in this analysis have been normalized to the Financial Data enterprise value control total, with market pricing inferred through differentiated, archetype-specific multiples applied to FY2025A comparable EBIT.

The most striking disconnect lies in Mobile Networks, which generates 39.2 percent of group revenue but captures only 7.4 percent of enterprise value. This reflects a commodity hardware business in a severe cyclical trough, burdened by thin 2.8 percent margins and structural market share erosion. Nokia Technologies, by contrast, generates just 7.5 percent of revenue but contributes 52.3 percent of comparable EBIT. It is allocated 43.0 percent of enterprise value, reflecting a high-margin, capital-light royalty stream.

A key caveat is the distinction between comparable EBIT and reported operating profit. The segment EBIT shares and allocations rely on comparable EBIT (totaling €1,646 million across segments), which strips out restructuring charges, purchase price allocation amortization, and other non-recurring items. Because several highly publicized strategic actions lack independent verification and are officially classified as unresolved in the fact gate, the large negative valuation drag applied to Group Common and Other (-€8,756 million) is treated as a structural, ongoing burden.

ANALYTICAL ANCHOR

Enterprise value relies entirely on an AI optical supercycle and a highly visible patent annuity, while traditional mobile hardware is heavily discounted.

08

Network Infrastructure

Segment deep dive — Scaling.

The market prices Network Infrastructure not as a legacy telecom equipment supplier, but as a play on artificial intelligence and data-center expansion. As large language models and generative AI clusters scale, the bottleneck has shifted from raw compute (GPUs) to data movement. Hyperscalers need vast, high-capacity optical networks to connect distributed data centers and increasingly complex IP routing to manage traffic within them. The allocated enterprise value of €21.5 billion implies a normalized multiple of roughly 27.6x comparable EBIT, a severe premium over traditional telecom hardware multiples, reflecting belief in a multi-year supercycle entirely divorced from stagnant telco capex.

Nokia's moat relies on its in-house silicon photonics capabilities and Digital Signal Processor (DSP) technology. Developing these components requires large, sunk R&D costs, creating a high barrier to entry. Nokia's advantage over Cisco is its deep optical heritage, and its advantage over Ciena is its ability to bundle IP routing and fixed access. However, Nokia must continuously prove it can win merchant silicon face-offs against pure-play competitors. The revenue driver is the volume of optical ports and routers shipped, multiplied by the ASP per high-capacity unit. When Nokia sells a box powered by its own DSPs, the gross margin is materially higher than when it integrates merchant silicon.

The bridge requires Network Infrastructure to grow revenue by approximately €2.6 billion and expand comparable EBIT margins by 370 basis points to reach €1,436 million in EBIT, which would justify the €21.5 billion EV at a more sustainable 15x multiple. Given the scale of global data-center capex, capturing an additional €2.6 billion in revenue is mathematically feasible if Nokia takes share or if the overall optical interconnect market doubles. However, the evidence relies heavily on forward-looking AI narratives rather than fully contracted backlog. Over the next 12–24 months, Nokia must show sequential growth in its webscale customer revenue, isolating AI-driven order intake from traditional telecom orders.

NETWORK
INFRASTRUCTURE FACT
SHEET

SCALING

FY2025A REVENUE

EUR 7,980m

MODEL ESTIMATE COMPARABLE
EBIT

EUR 780m

NORMALIZED IMPLIED MULTIPLE

27.6x Comparable EBIT

AI STRATEGY PIVOT STATUS

Unresolved / Unverified

08

Nokia Technologies

Segment deep dive — Profit engine.

The market values Nokia Technologies as an annuity. The business monetizes approximately 20,000 patent families, built on €150 billion in historical R&D, through licensing agreements. Because the R&D costs required to maintain standard-essential patents (SEPs) are largely sunk or funded at the corporate level, the incremental margin on a licensing contract is near 100 percent. The market applies a high multiple to this segment because the cash flow is contracted, highly visible, and insulated from the supply chain, manufacturing, and cyclical capex risks that affect Nokia's hardware divisions.

Nokia operates in a small group of global telecom innovators alongside Ericsson, Qualcomm, and InterDigital. Nokia's moat is absolute regarding the necessity of its intellectual property; a manufacturer cannot legally build a 5G phone without infringing Nokia's SEPs. However, the commercial leverage is bounded by litigation. Chinese handset makers frequently challenge FRAND rates in domestic courts, attempting to force lower global royalty caps. Nokia recently concluded a difficult, multi-year smartphone license renewal cycle, securing a long-term period of contractual stability.

To justify the €17.5 billion allocation at a mature 12x multiple, Nokia Technologies needs to generate €1,462 million in comparable EBIT. The segment currently produces €1,059 million, leaving a gap of €403 million. Because incremental margins are near absolute, closing a €403 million EBIT gap requires roughly €448 million in new licensing revenue. The bridge relies heavily on either holding a higher multiple (16.6x) indefinitely for a zero-growth annuity, or aggressively expanding IoT and automotive licensing beyond current targets. The thesis would be invalidated if a major global court issues a ruling that significantly lowers the permissible FRAND rate for SEPs.

NOKIA TECHNOLOGIES
FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
EUR 1,501m

MODEL ESTIMATE COMPARABLE
EBIT
EUR 1,059m

NORMALIZED IMPLIED MULTIPLE
16.6x Comparable EBIT

ADDRESSABLE CORE MARKET
LIMIT
~1.1 - 1.2bn Annual
Smartphones

NEXT GROWTH FRONTIER
Automotive / IoT Licensing

08

Cloud and Network Services

Segment deep dive — Recurring.

This segment represents Nokia's attempt to move away from low-margin boxes toward cloud-native core networks, private wireless solutions for enterprises, and SaaS-based network management. The market applies a premium software multiple (implied ~22x normalized) to this segment, hoping that recurring revenue will increasingly dominate the mix.

However, the evidence remains mixed. Telcos are notoriously slow to move core network functions to the public cloud, and competition from hyperscalers (who offer their own telecom cloud solutions) and IT incumbents is fierce. The valuation requires Nokia to scale its enterprise private wireless contracts and maintain mid-teens margins, proving that CNS is a genuine software business rather than merely a high-margin professional services division attached to legacy hardware.

CLOUD AND NETWORK SERVICES FACT SHEET

RECURRING

FY2025A REVENUE

EUR 2,606m

MODEL ESTIMATE COMPARABLE EBIT

EUR 338m

NORMALIZED IMPLIED MULTIPLE

22.1x Comparable EBIT

STRATEGIC FOCUS

Cloud-native networks / Private wireless

08

Mobile Networks

Segment deep dive — Commodity.

Mobile Networks generated the highest external revenue in FY2025A at €7,800 million, but produced just €220 million in comparable EBIT, a 2.8% margin. The market assigns it just €3,037 million in enterprise value, applying a severe cyclical discount. It assigns almost no terminal growth value to Mobile Networks, leaving it heavily exposed to the capex cycles of global mobile operators, who are currently restricting new investment.

Furthermore, the hardware itself is commoditizing. The shift toward Open RAN architecture lets operators mix and match vendors. This structural vulnerability materialized sharply when AT&T awarded a large Open RAN contract to Ericsson in late 2023, effectively replacing Nokia gear. The loss of volume from top-tier US carriers deprives Nokia of the fixed-cost absorption needed to maintain healthy hardware margins.

To justify even its modest €3 billion allocation, the unit economics require a cyclical rebound in 5G capex (potentially driven by India or a second wave in the West) to push margins back toward the mid-single digits. If Mobile Networks cannot regain scale, or if AI-RAN fails to provide a proprietary software layer that defends margins, this segment risks becoming a value trap that consumes maintenance capex without returning its cost of capital.

MOBILE NETWORKS FACT SHEET

COMMODITY

FY2025A REVENUE

EUR 7,800m

MODEL ESTIMATE COMPARABLE EBIT

EUR 220m

NORMALIZED IMPLIED MULTIPLE

13.8x Comparable EBIT

MARKET POSITION DRIVER

Cyclical 5G Capex Tracker

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Smaller segments — grouped deep dives

Segments that don't warrant a full deep dive — a short fact strip each.

Group Common and Other

Mixed unclear — FY2025A revenue: EUR 17m · Model estimate Comparable EBIT: EUR -373m · Capitalized Drag Multiple: ~17x (Group Average) · Cost Reset Program Status: Unresolved / Unverified

CORE ANALYSIS · CROSS-SEGMENT BRIDGE

Putting the segments back together

09

How the segment valuations aggregate to the group, and the re-rating the target price requires.

The mechanical move from FY2025 actuals to the 2026 forecast requires a 44.1% acceleration in reported EBIT. This bridge is not supported purely by organic volume growth; it relies on a structural shift in the quality of earnings. The baseline is supported by the highly predictable €1.3 billion run-rate of Nokia Technologies, which provides a firm earnings floor.

However, the aggressive step-up to €2,372 million in group EBIT depends entirely on Network Infrastructure maintaining its AI-driven optical sales momentum and Mobile Networks halting its margin deterioration.

A key vulnerability in this forecast is the historical gap between comparable EBIT and reported EBIT. In FY2025, segments produced €2,024 million in comparable EBIT, but reported EBIT was pulled down to €1,646 million by restructuring costs and purchase price amortizations. The 2026 estimate assumes these one-off drags fade. Because several major corporate actions remain officially unverified and excluded from this analysis, the assumption that corporate drag will neatly disappear is the weakest link in the financial bridge.

BRIDGE MECHANICS

The bridge to 2026 relies on a 44.1% step-up in reported EBIT, requiring restructuring drags to vanish and AI-optical margins to structurally expand.

The current valuation relies almost entirely on the market's willingness to assign technology-growth multiples to a select subset of Nokia's assets, while ring-fencing the legacy mobile business. Under a standard capitalized earnings framework, current comparable EBIT supports the valuation only if we accept severe multiple dispersion across the group.

The enterprise value bridges cleanly to market capitalization thanks to Nokia's strong balance sheet; the €1.5 billion net cash position ensures equity holders capture the full value of the operating assets without leakage to creditors.

The highest valuation tension sits in Network Infrastructure. At 27.6x trailing comparable EBIT, the allocation implies that optical demand from hyperscalers is not a one-time capacity build but a recurring, high-margin revenue stream. If this business reverts to a traditional telecom hardware multiple of 10-12x, over €12 billion in enterprise value would disappear.

Nokia Technologies, by contrast, appears defensible; while 16.6x is a high multiple for a no-growth asset, the near-zero capital intensity and clear contractual nature of the revenue stream give it bond-like security. The valuation could deteriorate sharply if the AI narrative stalls just as Mobile Networks fails to recover from its 5G trough.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The variance across these scenarios is dictated entirely by Network Infrastructure's ability to capture AI data-center spend and Nokia Technologies' ability to defend its patent margins. In the Bear Case, hyperscaler optical orders prove cyclical, causing a severe multiple contraction for Network Infrastructure, while Mobile Networks continues to lose margin.

Because Nokia is ungeared (net cash), the downside flows cleanly through to the equity layer, implying a share price collapse to roughly €5.00 if group enterprise value deflates towards €26,500m.

Upside depends heavily on executing the AI pivot well. For the Bull Case to play out, Nokia must expand its optical component margins through in-house DSPs and offset the structural drag from Group Common and Other. The most critical downside thesis breaker is a legal or regulatory intervention in China or the EU that caps Standard Essential Patent (SEP) royalty rates, which would permanently impair the €17.5 billion allocation to Nokia Technologies.

BOTTOM LINE

The central investment debate on Nokia is whether it is a legacy telecom equipment supplier in managed decline or a critical, high-margin enabler of AI data-center infrastructure backed by a durable patent annuity. Network Infrastructure matters most to the valuation, carrying the growth burden and commanding over half the group enterprise value. Nokia Technologies is the financial bedrock, generating most of the recurring free cash flow needed to fund the dividend and capital returns. For the current valuation to be justified, two things must go right at once: Network Infrastructure must sustain its commercial momentum with hyperscalers, and Nokia Technologies must maintain its €1.3 billion revenue run-rate without facing punitive legal caps on its royalty pricing.

FINANCIAL BRIDGE · PART 1

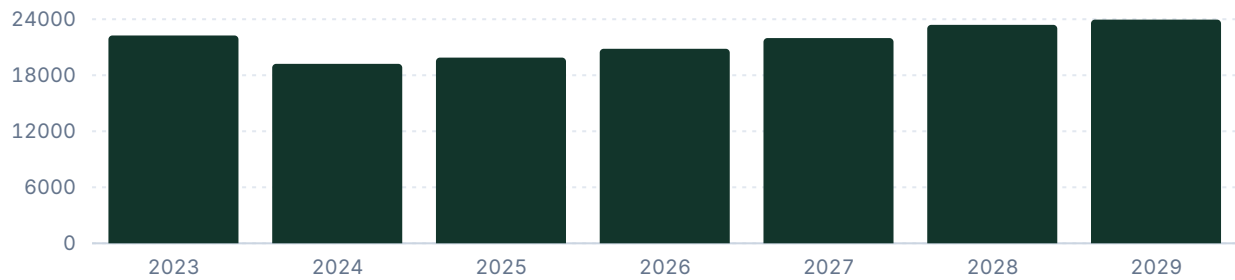
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

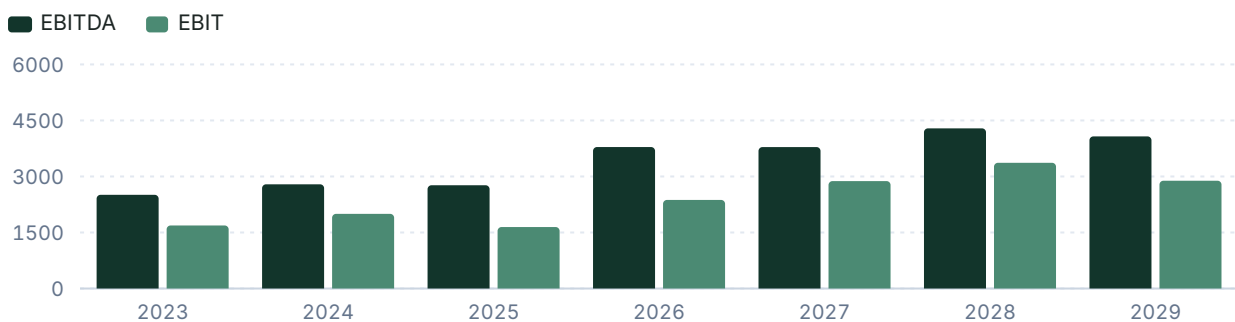
Net sales

EUR millions



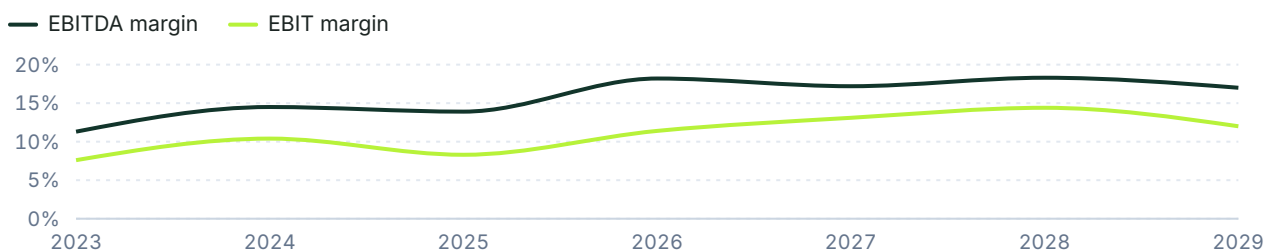
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

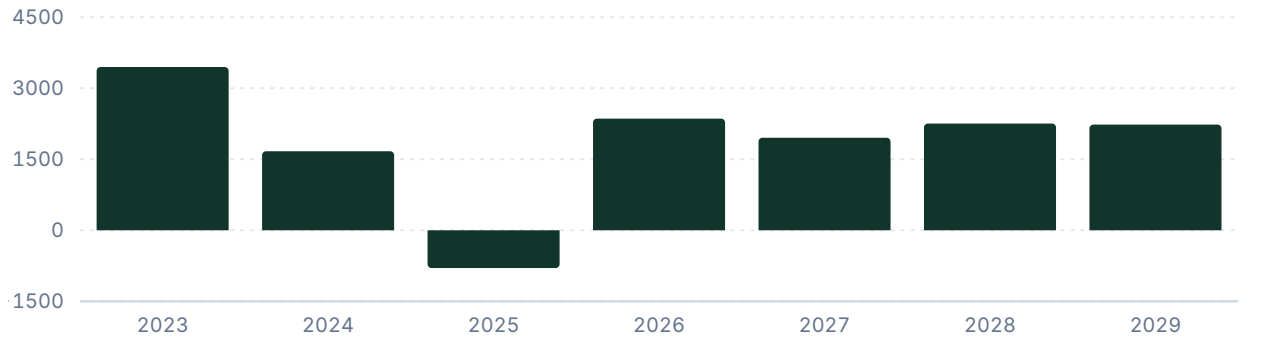
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

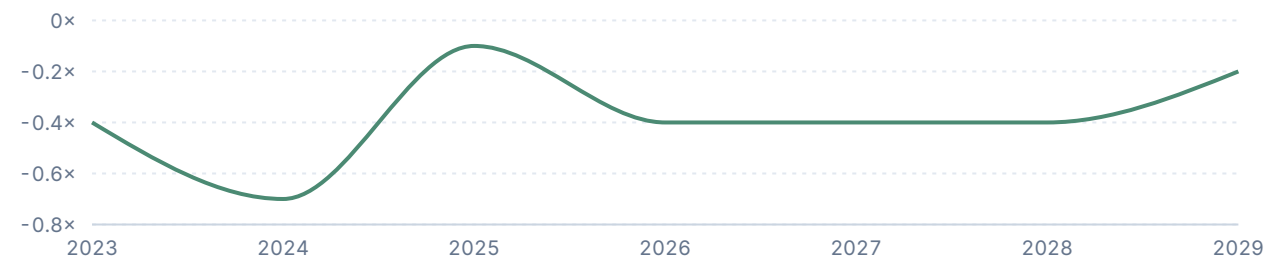
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	19,889	20,833	21,981	23,396	23,958
EBITDA	2,765	3,788	3,787	4,288	4,073
Comparable EBIT	1,646	2,372	2,876	3,366	2,886
Net Earnings	638	1,690	2,175	2,589	1,994
EPS (EUR)	0.1	0.3	0.4	0.5	0.4
DPS (EUR)	0.1	0.3	0.4	0.4	0.3

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

Web-sourced: CSCO Dividend yield, GLW Dividend yield.

We value Nokia using EV/EBIT as our primary method, supported by a P/E multiple framework. As a cyclical industrial with intensive physical network infrastructure alongside a fixed-cost patent licensing segment, EBIT best isolates underlying cash generation capabilities across market cycles. Nokia currently trades at 17.2x 2026e EV/EBIT, which sits below the peer median of 19.9x but above its normalized historical average of 13.7x. The selected fair multiple of 15.0x reflects a modest premium to its own history—driven by the structurally stronger cash flows in the Nokia Technologies licensing division—while maintaining a slight discount to broader peers due to the ongoing margin constraints in the core Mobile Networks segment. The primary valuation risk compressing this multiple would be a deeper, more protracted cyclical trough in global telco capex or intensified price competition in the radio access market.

Historical and Forecast Multiples											
Metric	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	Norm. Avg	Selected Fair Multiple
P/E	-7.29x	19.06x	5.71x	24.93x	18.21x	47.28x	24.21x	19.39x	16.29x	16.98x	18.0x
P/FCF	69.56x	-13.03x	-35.39x	4.91x	14.01x	-37.86x	17.35x	21.59x	18.71x	9.46x	
P/BV	1.41x	1.81x	1.14x	0.82x	1.13x	1.44x	1.93x	1.87x	1.83x	1.29x	
P/S	0.81x	1.41x	0.98x	0.76x	1.22x	1.52x	1.96x	1.92x	1.80x	1.12x	
EV/Sales	0.79x	1.37x	0.98x	0.72x	1.12x	1.51x	1.96x	1.86x	1.75x	1.08x	
EV/EBITDA	8.43x	9.28x	7.08x	6.36x	7.75x	10.87x	10.78x	10.78x	9.52x	8.29x	
EV/EBIT	18.88x	14.14x	10.56x	9.45x	10.81x	18.25x	17.21x	14.20x	12.13x	13.68x	15.0x
Dividend yield	n/a	n/a	1.4%	3.6%	3.0%	2.5%	3.7%	4.8%	5.7%	2.6%	

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	P/BV	EBIT MARGIN	ROE	DIV YIELD
Telefonaktiebolaget LM Ericsson	Sweden	316.8 SEKbn	24.1x	48.7x	7.9x	2.8x	11.5%	11.9%	3.4%
Cisco Systems, Inc.	United States	270.3 USDbn	25.0x	23.0x	20.7x	4.7x	23.9%	20.6%	1.5%
Ciena Corporation	United States	48.1 USDbn	65.6x	51.2x	34.7x	13.9x	19.4%	23.8%	n/a
ADTRAN Holdings, Inc.	United States	740 USDm	32.5x	22.0x	15.3x	3.1x	7.0%	10.1%	n/a
InterDigital, Inc.	United States	5.8 USDbn	26.4x	32.1x	13.4x	4.0x	39.8%	16.6%	n/a
QUALCOMM Incorporated	United States	178.8 USDbn	20.2x	19.5x	10.4x	6.8x	33.1%	38.0%	2.8%
Corning Incorporated	United States	59.1 USDbn	19.7x	24.5x	14.3x	3.6x	20.2%	20.3%	0.9%
Peer median			24.6x	23.8x	13.9x	3.8x	20.2%	20.3%	3.1%
Peer average			24.7x	28.3x	13.7x	4.2x	22.2%	20.2%	3.1%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBIT	2026e EBIT	2,372 EURm	15.0x	6.6 EUR	60%
P/E	2026e EPS	0.31 EUR	18.0x	5.6 EUR	40%
Weighted target price				6.2 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

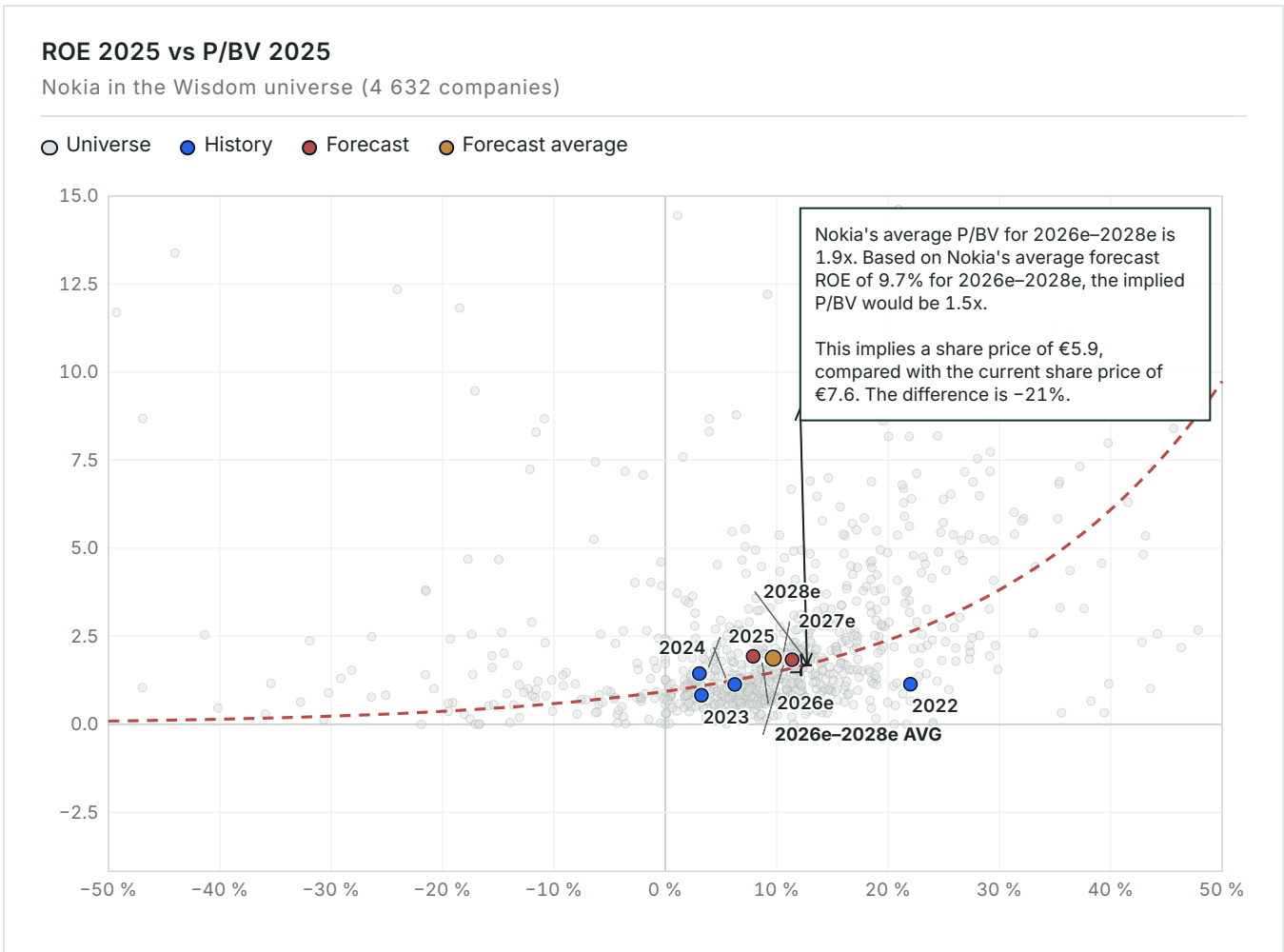
2026E EBIT (EURM)	MULTIPLE 13.0X	MULTIPLE 15.0X (BASE)	MULTIPLE 17.0X
1,898 (-20%)	4.66	5.34	6.02
2,135 (-10%)	5.21	5.98	6.74
2,372 (Base)	5.77	6.61	7.46
2,609 (+10%)	6.32	7.25	8.19
2,846 (+20%)	6.87	7.89	8.91

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Nokia's forecast average for 2026e–2028e shows an ROE of 9.7% and a P/BV of 1.9x, positioning the stock above the universe curve that represents typical market valuations for its level of profitability. Since the curve implies a lower P/BV of 1.5x and a share price of EUR 5.93, the current price of EUR 7.56 sits at a 21% premium to the value suggested by the broader market relationship. This means Nokia's shares are trading at a higher multiple than its returns would typically justify, compared to the 4,632 companies in the universe.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	24.2×
EV/EBITDA	10.8×
EV/EBIT	17.2×
P/FCF	17.4×
P/BV	1.9×
Dividend Yield	3.7%
Net Debt / EBITDA	-0.4×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV/EBITDA →	8.8×	9.8×	10.8×	11.8×	12.8×
-20% EUR 3,030m	EUR 26,603m EUR 4.80 / sh	EUR 29,633m EUR 5.40 / sh	EUR 32,663m EUR 5.90 / sh	EUR 35,693m EUR 6.40 / sh	EUR 38,723m EUR 7.00 / sh
-10% EUR 3,409m	EUR 29,931m EUR 5.40 / sh	EUR 33,340m EUR 6.00 / sh	EUR 36,749m EUR 6.60 / sh	EUR 40,158m EUR 7.20 / sh	EUR 43,567m EUR 7.80 / sh
Base EUR 3,788m	EUR 33,259m EUR 6.00 / sh	EUR 37,047m EUR 6.70 / sh	EUR 40,835m EUR 7.40 / sh	EUR 44,623m EUR 8.00 / sh	EUR 48,411m EUR 8.70 / sh
+10% EUR 4,167m	EUR 36,586m EUR 6.60 / sh	EUR 40,753m EUR 7.30 / sh	EUR 44,920m EUR 8.10 / sh	EUR 49,087m EUR 8.80 / sh	EUR 53,254m EUR 9.60 / sh
+20% EUR 4,546m	EUR 39,914m EUR 7.20 / sh	EUR 44,460m EUR 8.00 / sh	EUR 49,006m EUR 8.80 / sh	EUR 53,552m EUR 9.60 / sh	EUR 58,098m EUR 10.50 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	20,000	2,800	14.0%	9.5×	26,600	26,852	EUR 4.81	-36.3%
Base	20,833	3,788	18.2%	10.8×	40,835	41,087	EUR 7.36	-2.6%
Bull	22,000	4,500	20.4%	12.0×	54,000	54,252	EUR 9.72	+28.6%
KEY CONDITIONS Upside relies heavily on hyperscaler optical capex holding at a structurally higher plateau alongside expanded patent licensing. Downside materializes if hyperscaler capacity digestion pauses, triggering a severe multiple contraction in Network Infrastructure and compounding ongoing RAN weakness.								
THESIS BREAKER Legal or regulatory intervention capping SEP royalty rates globally, or a sudden deceleration in AI data-center capital expenditures.								

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Hyperscaler optical order intake	NEAR-TERM	Network Infrastructure	Proves or breaks the 27x AI valuation premium	Validates or compresses target multiple
Automotive/IoT patent licensing deals	MEDIUM-TERM	Nokia Technologies	Closes the €403m EBIT gap to justify normalized multiple	Supports current cash flow base
U.S. 5G Carrier Capex Rebound	MEDIUM-TERM	Mobile Networks	Determines if RAN margin recovers from 2.8% trough	Reverses structural discount
Resolution of unverified divestitures	NEAR-TERM	Group Common and Other	Could eliminate structural corporate margin drag if confirmed	Increases reported group EBIT

READ - THROUGH

The most critical catalyst is the trajectory of webscale optical order intake over the next four quarters. It is the easiest to observe in quarterly reporting and directly tests the primary growth engine behind the valuation. Conversely, the catalyst most likely to be misread is the conclusion of the unverified restructuring and divestiture programs (such as the FWA exit). The market may prematurely price in margin expansion from cost-cutting before the execution risks and separation costs are fully absorbed.

RISKS

Risk register

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Each risk's segment, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
AI Optical Capex Digestion	Network Infrastructure	Hyperscalers pause data-center buildouts, breaking NI growth premium.	Declining segment gross margins	HIGH	THESIS BREAKER
Standard Essential Patent (SEP) Litigation	Nokia Technologies	Courts cap FRAND royalty rates, compressing 70%+ margin.	Adverse regional court rulings on IP	HIGH	THESIS BREAKER
Structural RAN Market Share Loss	Mobile Networks	Competitors consolidate legacy footprints (e.g., AT&T loss).	Major open RAN contract losses	MEDIUM	STRUCTURAL
Unresolved Corporate Restructuring	Group Common and Other	Cost programs fail, cementing the -€8.7bn EV capitalized drag.	Persistence of high one-off adjustments	MEDIUM	MANAGEABLE
READ - THROUGH The most thesis-breaking risk is a sudden deceleration in AI data-center capital expenditures. The valuation assumes hyperscaler demand will seamlessly replace traditional telecom capex; if cloud providers pause to digest capacity, the premium applied to Network Infrastructure will collapse. The risk of structural market share loss in Mobile Networks is largely already priced in, evidenced by the punitive 13.8x raw discount multiple applied to that segment. An underappreciated risk is operational integration and execution friction tied to the unverified Infinera acquisition; if officially confirmed and closed, merging two large optical hardware portfolios historically destroys near-term margins and introduces severe execution risk just as peak market delivery is required.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	22,258	19,220	19,889	20,833	21,981	23,396
EBITDA	2,509	2,790	2,765	3,788	3,787	4,288
EBITDA margin	11.3%	14.5%	13.9%	18.2%	17.2%	18.3%
Depreciation	-821	-791	-1,119	-1,416	-911	-922
Operating Profit (EBIT)	1,688	1,999	1,646	2,372	2,876	3,366
EBIT margin	7.6%	10.4%	8.3%	11.4%	13.1%	14.4%
Net financial items	-189	92	-731	-355	-355	-365
Pre-tax Profit	1,499	2,091	915	2,017	2,521	3,001
Net Earnings	679	1,284	638	1,690	2,175	2,589
PER SHARE						
EPS	0.1	0.2	0.1	0.3	0.4	0.5
DPS	0.1	0.1	0.1	0.3	0.4	0.4
Payout ratio	89.9%	55.4%	118.8%	93.5%	93.5%	93.5%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	2,857	2,120	2,490	2,500	2,637	2,807
Intangibles	1,086	802	1,399	1,465	1,546	1,646
Goodwill	5,504	5,736	5,996	5,996	5,996	5,996
Non-current assets	17,821	17,563	18,162	18,238	18,456	18,726
Inventories	2,719	2,163	2,209	2,325	2,453	2,611
Receivables	9,134	9,201	8,121	8,501	8,897	9,386
Cash & equivalents	6,234	6,623	5,462	6,231	6,575	6,998
Current assets	18,087	17,987	15,792	17,057	17,925	18,995
Total Assets	39,860	39,149	37,597	38,938	40,024	41,364
EQUITY & LIABILITIES						
Equity	20,628	20,747	21,058	21,962	22,557	23,113
Long-term debt	3,637	2,918	3,126	2,352	2,490	2,748
Short-term debt	554	969	1,287	2,352	2,490	2,748
Long-term liabilities	6,577	5,583	5,346	4,572	4,710	4,968
Current liabilities	10,933	11,394	10,004	12,011	12,365	12,890
Total liabilities & equity	39,860	39,149	37,597	38,938	40,024	41,364
CAPITAL STRUCTURE & RATIOS						
Net debt	-1,046	-1,873	-252	-1,527	-1,595	-1,501
Capital invested	18,585	18,011	20,009	20,435	20,962	21,612
Equity ratio	51.8%	53.0%	56.0%	56.4%	56.4%	55.9%
Gearing	-5.1%	-9.0%	-1.2%	-7.0%	-7.1%	-6.5%
Net debt / EBITDA	-0.4×	-0.7×	-0.1×	-0.4×	-0.4×	-0.4×
Current ratio	1.7	1.6	1.6	1.4	1.5	1.5

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
CF from operations	2,909	2,434	1,076	3,553	2,777	3,131
Operating cash flow	3,422	2,904	1,366	3,850	3,084	3,446
Change in working capital	-779	-535	674	-447	309	381
INVESTING & FREE CASH						
Gross capex	-201	533	1,718	1,492	1,129	1,191
Capex (ex. M&A)	201	-533	-1,718	-1,492	-1,129	-1,191
Free Operating Cash Flow	3,443	2,096	-797	2,358	1,954	2,254
Free cash flow to firm	3,448	1,669	-797	2,358	1,954	2,254
FINANCING						
CF from financing	-1,988	-1,878	-312	-1,292	-1,305	-1,516
Dividends paid	-337	-610	-712	-758	-1,580	-2,033
Net change in cash	1,122	23	-954	769	343	423

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	4,667	4,466	4,326	5,984	4,390	4,546	4,833	6,125
EBITDA	837	643	518	939	216	366	721	721
EBITDA margin	17.9%	14.4%	12.0%	15.7%	4.9%	8.1%	14.9%	11.8%
Comparable EBIT	576	375	278	917	-48	81	435	437
EBIT margin	12.3%	8.4%	6.4%	15.3%	-1.1%	1.8%	9.0%	7.1%
Net Earnings	437	-145	176	806	-60	96	323	534
EPS	0.1	-0	0	0.2	-0	0	0.1	0.1

CURRENT YEAR — QUARTERLY, EUR MILLIONS				
	Q1/26	Q2/26 E	Q3/26 E	Q4/26 E
Net Sales	4,497	4,896	5,205	6,235
EBITDA	272	540	1,519	1,456
EBITDA margin	6.0%	11.0%	29.2%	23.4%
Comparable EBIT	63	201	1,081	1,027
EBIT margin	1.4%	4.1%	20.8%	16.5%
Net Earnings	86	151	697	737
EPS	0	0	0.1	0.1

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Current Share Price	7.556	MARKET DATA	Cover Page & Recommendation
Forward PE and EV/EBITDA Multiples	24.21x / 10.78x	MODEL OUTPUT	Valuation Summary & Bridge
Historical Income Statement (FY25A)	19,889m Rev / 1,646m EBIT	FINANCIAL SNAPSHOT	Financial Analysis & Appendix
Forecast 2026 EBITDA	3,788 EURm	GENERATED ESTIMATE	Scenarios & Multiple Sensitivity
Consensus Pre-tax Profit 2026E	2,017 EURm	CONSENSUS ESTIMATES	Model Comparison Benchmarks
Segment EV Allocation & Breakdown	€40,830m Total EV	COMPANY VALUE MAP	Value Pool Fact Sheets & Executive Map
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